Online Retail Sales Analysis

Business Insights and Recommendations

Scope: transaction data from a UK-based online gift and homeware wholesaler, cleaned in MySQL and analysed through seven business queries and three Tableau dashboards. Period: 1 December 2010 to 9 December 2011. All figures are net sales in GBP (returns deducted), covering identified customers and genuine product lines.

Executive Summary

£8.29M	18,402	£450	4,334	82.3%
Net revenue	Orders	Average order value	Customers	Revenue from the UK

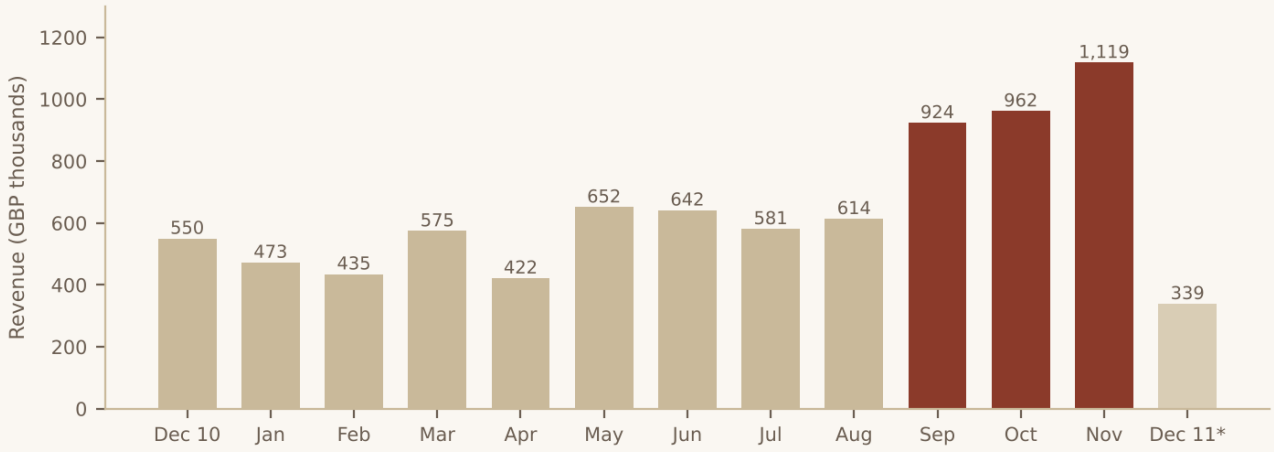
The business is **seasonal, concentrated and UK-dependent**. September to November 2011 produced 36.3% of all revenue, and November alone reached about twice the January to August monthly average. A quarter of customers (27%) generate 80% of revenue, while just over a third (34.7%) bought only once. Export customers are few but place much larger orders than UK customers, and most orders arrive between 10:00 and 16:00.

The five recommendations focus on protecting the high-value customer base, converting one-time buyers, preparing earlier for the autumn peak, testing wholesale export growth, and aligning marketing and operations to the daily order window.

1. Key Findings

F1: Revenue is strongly seasonal, peaking from September to November

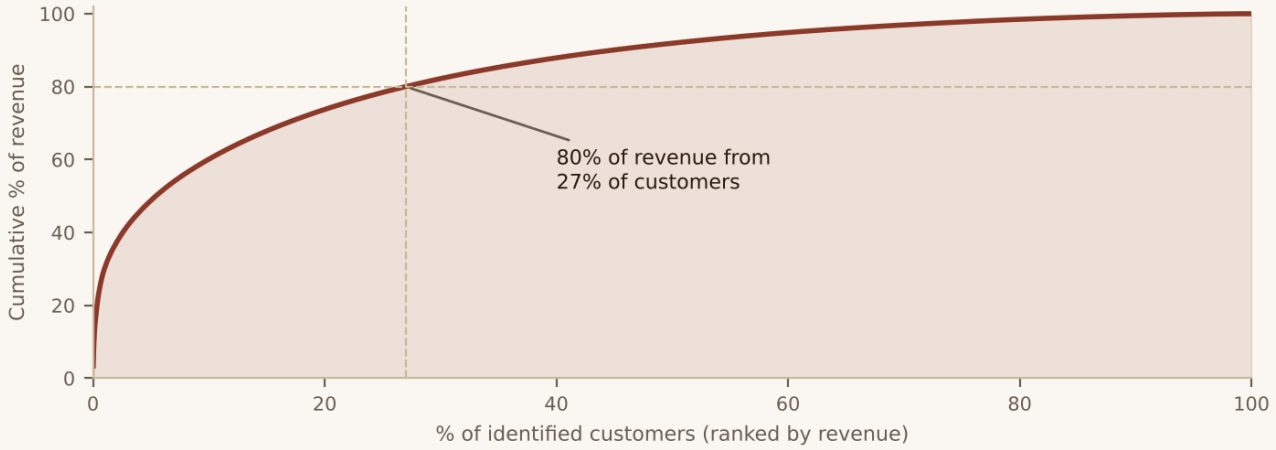
From January to August 2011 revenue ranged between £422k and £652k a month (average £549k). It then rose to £924k in September, £962k in October and £1.12M in November, more than double December 2010. Average order value also peaked in the autumn, at £531 in September against £370 to £485 in most other months, so the peak is driven by both more orders and larger ones. December 2011 is a partial month and should not be read as a decline.



*Monthly net revenue, GBP thousands. Highlighted: September to November 2011. *December 2011 covers 1 to 9 December only.*

F2: A minority of customers drive most revenue, and one in three never returns

Of 4,334 customers, the top 1% (43 accounts) generate 30.1% of revenue, the top 10% generate 60.1%, and 80% of revenue comes from 27% of customers (1,170 accounts). No single customer exceeds 3.4% of the total, so the risk lies in dependence on a group rather than on one account. At the other end, 1,505 customers (34.7%) placed only one order in the period, and a further 1,333 placed two or three.



Cumulative share of revenue by customer rank (4,334 customers with at least one purchase).

F3: Export buyers are fewer but spend far more per order

The UK accounts for 82.3% of revenue (£6.82M from 16,579 orders, averaging £412). The other 36 markets together contribute £1.46M from 1,823 orders at an average of £803. Two markets behave like wholesale buyers: the Netherlands (93 orders averaging £3,048) and Australia (56 orders averaging £2,446), seven and six times the UK average. Ireland, Germany and France place more frequent, smaller orders similar to the UK pattern.

Market	Net revenue	Orders	Avg order
United Kingdom	£6,822,903	16,579	£412
Netherlands	£283,480	93	£3,048
EIRE	£247,016	256	£965
Germany	£200,808	443	£453
France	£181,472	379	£479
Australia	£136,990	56	£2,446

F4: Sales are spread across a very wide product range

The business sold 3,907 product lines. The ten best sellers make up only 7.9% of revenue and the top 100 make up 30.7%, so revenue does not depend on any single hero product. The leaders are the Regency Cakestand 3 Tier (£133k), White Hanging Heart T-Light Holder (£94k), Jumbo Bag Red Retrospot (£83k) and Party Bunting (£68k). One top-ten line, the Picnic Basket Wicker 60 Pieces (£40k from 61 units), comes entirely from a single customer and reflects one bulk purchase rather than broad demand.

F5: Orders cluster between 10:00 and 16:00

78.7% of orders are placed between 10:00 and 15:59, with 12:00 the busiest hour (16.9% of orders). Only 3.2% arrive before 09:00 and 4.7% after 17:00, and activity stops by 20:00. This pattern is consistent with trade buyers ordering during working hours.

2. Recommendations

R1: Protect the top customers (High priority)

Manage the 433 customers in the top 10% (60% of revenue) as named accounts with a dedicated contact and priority service. Add an early-warning report that flags any of these customers whose gap since their last order is much longer than their usual buying interval, so the business can contact them before they lapse.

R2: Convert one-time buyers into repeat buyers (High priority)

Introduce a structured follow-up for first-time customers: a thank-you contact within a week, a relevant reorder suggestion and a time-limited incentive on a second order. As an illustration only, if 10% of the 1,505 one-time buyers (about 150 customers) went on to spend the median customer value of £652, that would add roughly £98k, about 1.2% of revenue. Track first-to-second order conversion to measure the real effect.

R3: Prepare for the autumn peak earlier (High priority)

September to November delivers over a third of annual revenue, with November running at about twice the normal monthly level. Plan purchasing, stock and staffing for roughly double normal throughput from September, prioritise stock depth on the top 100 product lines (31% of revenue), and start seasonal marketing in August so campaigns are live before demand rises.

R4: Test wholesale export growth before scaling (Medium priority)

The Netherlands and Australia order at £2,400 to £3,000 per order, six to seven times the UK average, but from fewer than 150 orders combined. Run a low-cost pilot, such as targeted outreach to wholesale buyers in these and similar markets with volume pricing and consolidated shipping, and measure results before committing larger spend. Success would also reduce the 82% reliance on the UK.

R5: Align marketing and operations to the daily order window (Operational)

Schedule email campaigns to arrive between 09:00 and 10:00, just before the 10:00 to 16:00 window opens. Staff customer service and order processing for that window, and move batch jobs and system maintenance to after 17:00, when fewer than 5% of orders are placed.

3. Suggested KPIs to Track

KPI	Current baseline	Purpose
Share of revenue from top 20% of customers	73.7%	Monitor concentration risk (R1)
First-to-second order conversion	Not yet measured (34.7% bought once)	Measure retention actions (R2)
September to November share of revenue	36.3%	Seasonal planning (R3)
Non-UK average order value	£803 (UK £412)	Export pilot results (R4)
Orders placed 10:00 to 15:59	78.7%	Staffing and campaign timing (R5)

4. Data Preparation and Limitations

Preparation. Revenue is net: cancelled and returned items are kept as negative lines and deducted, rather than removed. Transactions without a customer ID were excluded so that customer metrics are reliable, and postage, fees and manual adjustment codes were excluded so that product rankings reflect genuine products only. Customer metrics cover the 4,334 customers with at least one purchase. Every figure in this report was reconciled across the SQL outputs and the Tableau dashboards.

Limitations. The data contains no cost or margin information, so recommendations are based on revenue, not profit. It covers 13 months from a single retailer, so the seasonal pattern rests on one autumn. Order times are assumed to be UK local time.